

most important thing. Today becomes how you felt in the past because you misremember. So everything is about today. If it is going up today, it will go up tomorrow. In this sense, financial markets become self-referential.

I would have a different explanation of why markets trend. I believe markets trend because there is some important underlying change in fundamentals that has not been adequately discounted, or sometimes markets trend because they anticipate such a fundamental change. But any major trend has some fundamental catalyst.

Markets may initially trend for fundamental reasons, but prices overshoot by ludicrous amounts. At some point, prices go up today simply because they went up yesterday.

Okay, you know that markets trend. What else do you know for certain?

You also know that diversification works. That is what the systematic trend-following strategy is built on: markets trend and diversification works. It doesn't have any economic information.

But that leaves open two questions: How do you accurately identify trends without being overly subject to whipsaws, and how have you managed to keep risks so constrained?

First, the systematic trend-following strategy trades over 150 markets. Second, the systematic team looks at past correlations in weighting those markets. Currently, because of the whole risk-on/risk-off culture that has developed, diversification is quite hard to get. When I first started trading about 20 years ago, U.S. and European bond markets weren't really that correlated. Now, these markets move together tick by tick.

So how do you get diversification when you have such extreme correlation?

You have problems getting it. Recently, everything works or everything doesn't work. For example, we have had periods where everything worked for the systematic trend-following strategy and we made \$1 billion. It's all really one trade, isn't it?